

Weather & Sports Betting on Prediction Markets

Explained for a Complete Beginner

Every word in plain English — no background needed

June 2026

Educational only — not financial advice. Betting is risky and restricted in many places including Australia. Never bet money you can't afford to lose.

Weather & Sports Betting on Prediction Markets

Explained for a Complete Beginner — every word, in plain English

No background needed. I explain every term the first time it appears. Whenever you see a box like this:

■ **In plain English:** ...a dead-simple restatement with zero jargon.

...that's me making sure it actually made sense before moving on. There's a glossary at the very end if you forget a word.

PART 1 — WHAT ARE THESE MARKETS, REALLY?

1.1 The basic idea

A **prediction market** is a website where you bet on whether something will happen — an election, a football game, tomorrow's weather. **Polymarket** is the biggest one.

Here's the key mechanic. For each question, there's a kind of ticket. The ticket **pays you exactly \$1 if you're right, and \$0 if you're wrong.**

Example question: *"Will it rain in Sydney tomorrow?"*

- You buy a "Yes" ticket.
- If it rains → your ticket is worth \$1.
- If it doesn't → your ticket is worth \$0.

1.2 The price of a ticket tells you the chance

How much does a ticket cost? It depends on how likely people think the event is.

- If rain is very likely (say 80% chance), a "Yes" ticket costs about **80 cents**.
- If rain is unlikely (20% chance), it costs about **20 cents**.

So **the price, in cents, is just the percentage chance the crowd believes.** A ticket at 65¢ means "the crowd thinks there's a 65% chance."

■ **In plain English:** Price = chance. A 30-cent ticket means "30% likely." You're buying tickets that turn into \$1 if you're right, nothing if you're wrong. The whole game is finding tickets that are **priced wrong** — cheaper than the real chance.

1.3 "Yes" tickets and "No" tickets

Every question has two sides:

- A **"Yes" ticket** pays \$1 if the thing happens.
- A **"No" ticket** pays \$1 if the thing does NOT happen.

Their prices add up to about \$1. If "Yes" is 70¢, "No" is about 30¢ (because 70% + 30% = 100%). You buy whichever side you think is too cheap.

1.4 A full example, start to finish

Question: "Will tomorrow's high temperature at New York's airport be 75°F or hotter?"

Current price: "Yes" = 40¢ (so the crowd thinks 40% chance).

You did some checking (we'll learn how) and you believe it's really more like a 65% chance.

Your thinking: the "Yes" ticket is selling for 40¢ but you think it's really worth about 65¢. It's too cheap. You buy.

You buy 100 "Yes" tickets at 40¢ each → that costs you \$40.

Then tomorrow happens:

- **It hits 75°F (you're right):** each ticket becomes \$1. You get \$100. You turned \$40 into \$100 → **+\$60 profit.**
- **It stays cooler (you're wrong):** each ticket becomes \$0. You get nothing → **you lose your \$40.**

1.5 You do NOT need to win every bet

This is the most important idea in the whole guide, so go slow here.

In that example, you could lose. But it was still a **smart** bet. Why? Because if your "65% chance" estimate is right, then *on average* this bet is worth more than it cost. Imagine making that same bet 100 times: you'd win about 65 times (getting \$100 each) and lose about 35 times (getting \$0). That averages out to about **\$65 per bet** — for tickets you only paid **\$40** for. Paying \$40 for something worth \$65 on average is great... **even though you lose 35% of the time.**

■ **In plain English:** Winning at this is NOT about being right every time. It's about repeatedly buying tickets for less than they're really worth. Do that over and over, and the math makes you money — even though plenty of single bets lose. Losing bets are normal and fine.

1.6 Where does your profit come from?

Important: when you win, the money comes **out of another bettor's pocket** — the person who took the other side and was wrong. There's no "house" paying you. So your profit is literally **other people's mistakes.**

That tells you who you want to bet against: **clueless, emotional, casual bettors** (people guessing the weather by how it feels outside). And who to avoid: **fast computer programs ("bots")** run by professionals that react in a fraction of a second. A big part of strategy is picking fights with weak opponents and avoiding the strong ones.

■ **In plain English:** You're not beating a casino — you're beating other people. Aim at the clueless ones, dodge the pros and their bots. Their bad bet is your good one.

PART 2 — THE WORDS YOU'LL KEEP HEARING

(decoded)

Quick plain-English definitions. Don't memorize — just get the gist; they'll click as we use them.

- **Bankroll:** the pot of money you've set aside just for betting. *Must* be money you can totally afford to lose.
- **Stake:** how much you put on one bet.
- **Edge:** your reason to expect to win — usually that you know the real chance better than the price does. "A 10% edge" means you think the true chance is 10 points higher than the price.
- **Expected Value (EV):** the average result if you made a bet many times. **Positive = makes money on average = good bet. Negative = loses money on average = skip it.** (That's the \$40-for-\$65 idea from 1.5.)
- **Variance / "a losing streak":** the natural ups and downs. Even a winning strategy loses many times in a row sometimes. Totally normal.
- **Resolution:** when the event finishes and tickets pay out (\$1 or \$0).
- **Fee:** Polymarket takes a small cut (~2%) when you win a trade you entered instantly.
- **Spread:** a hidden cost — the gap between the price to buy and the price to sell. In quiet markets it can be big (5–10 cents), which eats your profit.
- **Limit order vs market order:** A **market order** = "buy right now at the current price" (instant, but you pay the fee). A **limit order** = "buy only if the price hits the number I set" (you wait, but you pay **zero fee**). Using limit orders saves you the fee. Worth it.
- **Liquidity:** how much money is actively trading in a market. High liquidity = easy to get in and out. Low liquidity = you might get "stuck" (easy to buy, hard to sell later).

■ **In plain English:** Bankroll = your betting pot. Edge = your reason you'll win. EV = "good bet or bad bet on average." Fee + spread = the costs that quietly eat profits (use limit orders to dodge the fee). That's 90% of the vocabulary.

PART 3 — STRATEGY 1: BETTING ON THE WEATHER

3.1 Why weather is a great place to start

Four reasons:

1. **The answer is 100% clear-cut.** "Was it 75°F or not?" is settled by an official government weather report. No arguing, no cheating.
2. **Your opponents are clueless.** Tons of people bet on weather by gut feeling. Easy to beat.
3. **The "answer key" is FREE.** The same professional weather forecasts that airlines and TV use are free online. Casual bettors don't bother checking them. **You will — that's your edge.**
4. **Fast feedback.** Markets finish every day, so you learn quickly whether you were right.

3.2 How a weather market looks

A market like "*What's tomorrow's high in New York?*" is split into **temperature ranges**, each its own Yes/No ticket:

- 70°F or below
- 71–72°F
- 73–74°F
- 75–76°F
- 77°F or above

Exactly one range will be the winner. Their prices add up to ~100%, like slices of a pie.

One thing that trips up beginners — the location. The market is decided by the temperature at **one specific airport**, named in the market's rules. For New York that's **LaGuardia Airport**. The airport can be a few degrees different from the city center (LaGuardia, near the water, often runs 3–5°F cooler than Midtown). Most casual bettors look at the city temperature on their phone and bet wrong. **You look at the airport. That alone is an edge.**

■ **In plain English:** You're betting on the temperature at a *specific airport*, decided by an official report. Most people accidentally check the wrong location (the city). Always check the exact airport the market names.

3.3 The "answer key": free weather forecasts

Big supercomputers predict the weather. You don't need to understand the science — just use the forecasts. A few names you'll see: **GFS** (American forecast), **ECMWF** (European, usually the most accurate). They're free on websites like **Windy.com** (which lets you compare several forecasts side by side).

Here's the useful trick: these supercomputers don't just give one guess — they can run the forecast **many times** to produce a *range* of outcomes. If, say, 8 out of 10 of those runs say "75°F or hotter," that's basically an **80% chance**. (The fancy word for running it many times is an "**ensemble**" — just

means "a bunch of forecasts that together give you a probability.")

■ **In plain English:** Free websites give you professional forecasts. When most of the forecasts agree on a temperature range, that range is very likely — and now you have a real probability to compare against the market's price.

3.4 The actual strategy (it's simple)

Compare the forecast's probability to the market's price. If the forecast says something is much more likely than the price suggests, buy it.

Example: the forecasts say "75°F or hotter" is **80% likely**, but the market is selling that ticket for only **55¢** (i.e. 55%). It's too cheap by a lot → **buy it**. That's the entire engine.

3.5 The simple rules (when to actually bet)

Only bet when ALL of these are true (this keeps you safe):

1. **The gap is big enough** — the forecast's chance is at least **8 cents/points above** the ticket's price. (Small gaps get eaten by costs.)
2. **The event is soon** — tomorrow or the next day (forecasts are reliable up to ~2 days out).
3. **The forecasts agree** — if the American and European forecasts are fighting each other, skip it.
4. **Don't bet the coin-flip range** — avoid the range right on the edge of the forecast; bet the ranges the forecasts clearly favor.

If any rule fails → **don't bet**. Skipping bad bets is how you win.

3.6 Which cities, and how much to bet

- **Bet on smaller/less-famous cities** (like Buenos Aires, Cape Town, Dallas, Atlanta). The famous ones (New York, London) are crawling with pro bots that grab the edge in minutes. Quieter cities leave the edge sitting there for hours.
- **Bet small**. While learning, put just **\$1–\$5 per bet**, no matter how confident you feel. Spread lots of small bets across many cities/days — the math only works over *hundreds* of bets, so no single one should be big.

3.7 What to realistically expect

A good, honest weather bettor makes a **small, steady** profit — think growing your money maybe 20-ish% over a long stretch with lots of small bets, **not** "turn \$100 into \$5,000." Those viral videos are lies or sales pitches. You'll have losing days and weeks — that's normal. The goal at first isn't profit; it's **proving to yourself you can spot good bets** with tiny amounts.

3.8 Your simple daily routine (no coding)

1. Pick a city and find the airport the market uses.
2. On Windy.com, check tomorrow's forecast high (compare a few forecasts).
3. If most forecasts agree on a temperature range, that range is likely (70–90%).
4. Open that market on Polymarket and look at the prices.
5. Is a range the forecasts love selling cheap? That's your bet.
6. Run the 5 rules in 3.5. If they pass, place a small **limit order** (to skip the fee).
7. **Write the bet down** in a spreadsheet: date, city, what you bet, the price, and later the result.
8. Repeat daily. After ~100 bets, check your spreadsheet — are you ahead after costs? That's how you know if it's working.

PART 4 — STRATEGY 2: SPORTS "VALUE BETTING"

This one needs a few new words explained first. Go slow — once these click, the strategy is easy.

4.1 First, some sports-betting basics

A **bookmaker** (or "**sportsbook**") is a company that takes bets on sports — like Bet365 or DraftKings. They set the **odds**, which tell you how likely they think each team is to win, and how much you'd get paid.

Just like prediction-market prices, odds can be turned into a **percentage chance**. If a bookmaker's odds mean "the Lakers have a 70% chance to win," that's their estimate of the real probability.

4.2 The "vig" — the bookmaker's hidden cut

Bookmakers bake a hidden fee into their odds, called the **"vig"** (short for *vigorous*; also called "the juice" or "the margin"). Because of it, a bookmaker's percentages add up to **more than 100%**.

Example: a bookmaker might price a game as "Lakers 53%, Other team 53%." That's 106% — impossible! That extra 6% is their built-in cut. To find what they *really* believe, you have to **remove the vig**.

■ **In plain English:** Bookmakers pad their numbers so they add up to more than 100%. That padding is their profit cut. Strip it out and you can see the *true* probability they actually believe.

4.3 "De-vigging" — removing the cut to see the true chance

De-vigging just means doing the little bit of math to remove that padding so the percentages add back up to a clean 100%. The result is the bookmaker's honest estimate of the true probability.

You don't even have to do the math by hand — **free "de-vig calculators"** online (search "no-vig calculator") do it for you: you type in the two odds, it spits out the true percentages.

Simple version of the math, if you're curious: take each side's percentage and divide it by the total. Lakers 53% and Other 53% add to 106%. So Lakers = $53 \div 106 = 50\%$, Other = 50%. That's the de-vigged truth.

4.4 The secret weapon: a "sharp" bookmaker called Pinnacle

Some bookmakers are sloppy; one is famously **razor-accurate**: **Pinnacle**. Bookmakers like Pinnacle are called **"sharp"** — meaning their odds are extremely close to the true probabilities.

Why is Pinnacle so accurate? Because it **welcomes professional winning bettors** instead of banning them (most bookmakers kick out winners). All those smart bettors' money flows in and constantly corrects Pinnacle's odds to be as accurate as possible. The proof: researchers checked

397,935 football games and Pinnacle's final odds matched real outcomes almost perfectly. It's about the most accurate "answer key" for sports that exists anywhere.

■ **In plain English:** Pinnacle is the smartest kid in the class. Its odds, after you remove the vig, are basically the *true* chances of a game. We use Pinnacle as our answer key — the same way we used weather forecasts for weather.

4.5 The strategy (same idea as weather!)

Now it's the exact same move as weather, just with a different answer key:

Take Pinnacle's de-vigged (true) probability. Compare it to Polymarket's price. If Polymarket is selling that team cheaper than the true chance, buy it — and hold until the game ends.

Why does Polymarket get it wrong? Because Polymarket's prices are set by ordinary, slower people — not the sharp pros. When news hits (an injury, a lineup change), the sharp bookmakers adjust in seconds, but Polymarket can lag for **minutes or hours**. That lag is your opening.

Worked example:

- Pinnacle, de-vigged, says **Lakers 70%** to win.
- Polymarket is selling "Lakers win" for **62¢** (i.e. 62%).
- The truth is 70% but you can buy it for 62¢ → it's **8 cents too cheap**. Buy at 62¢, hold until the game ends. Over many bets like this, you profit.

4.6 How do you KNOW it's working? "Closing Line Value"

Here's a beautiful part. You don't have to wait months to find out if you're good. There's an early signal called **Closing Line Value (CLV)**.

- The "**closing line**" is the bookmaker's *final* odds right before the game starts. By then, all the smart money has poured in, so the closing line is the **most accurate** number of all.
- **CLV** asks: *did you get a better price than that final, super-accurate number?* If you bought the Lakers at 62¢, and by game-time the true price had risen to 70¢, you got **great** value — you beat the closing line.

The magic: **if you consistently beat the closing line, you are almost certainly winning long-term** — even before your results prove it. It's the single best way to know your strategy works. Aim to beat the closing line on **more than ~60%** of your bets; that's a real, durable edge.

■ **In plain English:** The "closing line" is the final, most-accurate price. If you keep getting in *cheaper* than that final price, you're beating the market — which mathematically means you'll win over time. Track this and you'll know you're good within a couple hundred bets, not a couple of years.

4.7 Which sports, and the rules

- Polymarket has: **NFL, NBA, MLB, NHL, soccer, UFC, boxing, tennis, F1**, and big events. Pick a sport **you actually understand**.
- **Only bet when Polymarket is at least ~5% cheaper** than the true (de-vigged Pinnacle) chance — you need a few percent just to cover the fee and spread, so demand more.
- **Hold until the game finishes**. Don't try to sell early — sports markets can be hard to sell out of.
- **Don't chase the super-fast, obvious gaps** — those get grabbed by bots in under a minute. Look at quieter, less-popular games where the lag lasts longer.

4.8 What to expect & the catches

- Real, durable, year-round (sports never stop). One documented trader made **~\$3.7 million** doing exactly this. But that's after years and big size — you start tiny.
 - **The catches**: quiet markets can be hard to exit (so hold to the end); some of Polymarket's "volume" is fake/inflated (don't trust busy-looking numbers blindly); the easy fast edges are bot territory; and it's a real skill that takes practice. The *logic* is rock-solid (Pinnacle $\approx$ truth); the *execution* is what you have to get good at.
-

PART 5 — HOW TO NOT LOSE YOUR SHIRT (the part that matters most)

A great strategy still loses if you bet badly. This section decides whether you make money.

5.1 The golden rules

- **Only bet money you can completely afford to lose.** Not rent, not savings, not borrowed money. If it vanished, you'd shrug.
- **Never bet a big chunk on one thing.** Keep each bet to a tiny slice of your pot (**5% max**, and far less while learning — like \$1–\$5 a bet).
- **Spread many small bets.** The math only works over *hundreds* of bets. One big bet is gambling; many small ones is a strategy.

5.2 Why betting small is *survival*, not caution

Even a winning strategy hits losing streaks — losing **6+ in a row** is totally normal. If you bet big, a normal streak can **wipe you out before your edge ever pays off** — and you'd quit, thinking it doesn't work, right before it would have. If you bet small, that same streak is a tiny dip you barely feel, and you're still standing when the wins come.

■ **In plain English:** Losing streaks are guaranteed, even when you're good. Bet small and a streak is a scratch. Bet big and a streak is fatal. Small bets keep you alive long enough for the math to win.

5.3 Practice with fake money first

Before risking a cent, do **"paper trading"** — make your bets *on paper* (or a spreadsheet), writing down what you *would* have bet and what actually happened. It costs nothing, can't hurt you, and tells you honestly whether you can spot good bets. Do this for a few weeks. If you can't make fake money, you definitely won't make real money.

5.4 The order to do things (don't skip steps)

1. **Learn** (you're doing it).
2. **Paper-trade** with fake money for a few weeks. Prove you can find good bets.
3. **Tiny real bets** (\$1–\$5), writing every one down. Do 100+.
4. **Check your records** — ahead after costs? (For sports, are you beating the closing line 60%+?) If yes → step 5. If no → fix it before risking more.

5. **Slowly bet a little more** — only as your real results earn it.

Each step must work before the next. This is exactly how you avoid blowing up.

PART 6 — YOUR SITUATION (please read)

There's one real-world problem I have to be straight with you about: **right now, from Australia, you can't legally and safely use Polymarket or its main competitor (Kalshi)**. Australia's regulator blocked Polymarket in 2025. People get around the block with a "VPN" (software that hides your location), but that **breaks the rules and means if your money gets stuck, no one in Australia can help you get it back**.

So: **learn everything here** (the skills work anywhere), but treat "where can I actually, safely do this from where I live?" as a **separate problem to solve before you put in real money**. Until that's sorted, do everything with **fake money / on paper** — which is exactly where a beginner should start anyway.

And the promise I'll keep repeating because I care more about you not getting hurt than about you being excited: **the strategies are real, but please don't put in money you can't afford to lose, and never your whole pot. Start tiny. Prove it first.**

PART 7 — MINI GLOSSARY (plain English)

- **Bankroll:** your betting pot (money you can afford to lose).
- **Bookmaker / sportsbook:** a company that takes sports bets and sets the odds.
- **Closing line:** a bookmaker's final, most-accurate odds right before a game.
- **CLV (Closing Line Value):** whether you got a better price than that final number. Beating it = you're winning long-term.
- **De-vig:** removing the bookmaker's hidden cut so the percentages add to a clean 100% = the true chance.
- **Edge:** your reason to expect to win (you know the real chance better than the price).
- **Ensemble:** running a weather forecast many times to get a probability (e.g. "8 of 10 runs say hot" = 80%).
- **EV (Expected Value):** average result of a bet. Positive = good, negative = skip.
- **Fee:** Polymarket's small cut (~2%) on instant trades. (Dodge it with limit orders.)
- **Limit order:** "buy only at my price" — you wait, but pay no fee.
- **Liquidity:** how easy it is to get in and out of a market. Low = you can get stuck.
- **Market order:** "buy right now" — instant, but you pay the fee.
- **Pinnacle:** the sharpest bookmaker; its de-vigged odds $\approx$ the true chances. Our sports "answer key."
- **Prediction market:** a site where you bet on yes/no questions with \$1-or-\$0 tickets.
- **Resolution:** when the event ends and tickets pay out.
- **Sharp:** a bookmaker (or bettor) whose odds/judgment are extremely accurate.
- **Spread:** the hidden gap between buy and sell prices — a cost.
- **Stake:** how much you put on one bet.
- **Value betting:** buying when the price is cheaper than the true chance (the core of both strategies).
- **Variance:** the normal ups and downs / losing streaks.
- **Vig (juice/margin):** the bookmaker's hidden cut baked into the odds.

Educational only — not financial advice. Betting is risky and you can lose money. Prediction markets are restricted in many places, including Australia. Never bet money you can't afford to lose, and never your whole bankroll.